



district0x

Quarterly Report Q2 2026

July 02nd, 2026

Contents:

Mission, Vision, and Values

Product

Marketing

Financials

Summary

Mission, Vision, and Values

In our first ever quarterly report we shared our mission, vision, and values statement to serve as a guiding light throughout our growth and development as an organization. We will continue to highlight these at the beginning of every report to keep our ultimate goals fresh in mind.

Our Mission

Decentralize the ownership structures of the world's marketplaces.

Our Vision

Deploy a platform for the creation and operation of communal marketplaces as decentralized entities, build network effects around the platform via a suite of ancillary services and by fostering a third-party developer ecosystem, and leverage these network effects to supplant privately controlled marketplaces with districts that allow for open participation in the governance of markets.

Our Values

1. **Transparency** - Open and honest communication provides each person the opportunity to contribute in the most meaningful way.
2. **Autonomy** - We supply the tools and information to do the job, but trust one another to get that job done.
3. **Inclusion** - We welcome participation from all colors and creeds, across all borders and nationalities. We are empowered by the diversity of our ideas because competition breeds strength.
4. **Decentralization** - We seek the path of broadest consensus, and work to align motivations through incentives, not instigation.

Product

Building on Q1's foundation, Q2 focused on completing the AquaPrime game loop, wrapping up StreamTide's feature set, and making a strategic pivot toward cross-district collaboration with Insert Coin. Across the network, work continued to move district0x closer to the broader vibe-coded, AI-assisted development direction discussed in prior quarters.

District Registry

Work on the District Registry continued to advance this quarter as the team kept pushing toward a more accessible and stack-agnostic future. The formal proposal work introduced in Q1 remained active, with continued discussion around AI-assisted district development, the ARI proof-of-concept, and governance ideas that challenge traditional token-weighted models.

Infrastructure work also continued to support this direction. The ongoing effort remains centered on making district creation simpler for developers while preserving the registry as the integration point for network participation. Community feedback remains part of the process, and the Registry continues to evolve as a key foundation for future district0x expansion.

Streamtide

StreamTide's core feature set was completed this quarter. VibeMarket integration was extended with booster drop contract support added to creator profiles, Toshi Mart donations were completed with full donation support, error handling, and ETH switch-back fixes, and external contract donations were routed through intermediate contracts with a reentrancy guard. Multi-token support was also finalized with unified donation-coin configuration and USD values displayed across cart and matching views.

Infrastructure around StreamTide was also strengthened. A README, docker-compose setup, dev setup script, and async database layer were added to improve local development and contributor onboarding. Artist acquisition continued through offline outreach, but traction remained slow. With the platform now feature-complete, StreamTide is being put on the backburner so focus can shift toward Insert Coin and

AquaPrime, which provide a more immediate way to demonstrate district0x working across districts. StreamTide remains live and available.

Ethlance

Ethlance remained an ongoing part of the district0x ecosystem this quarter, with development continuing in parallel to the broader network work. The main emphasis was on maintaining stability and keeping the project aligned with the network-wide push toward cleaner infrastructure and better development ergonomics.

As the District Registry proposal and shared libraries continue to mature, Ethlance benefits from the same architectural direction and organizational improvements applied across district0x. Work remains in progress, and the project continues to advance as part of the broader district0x stack.

Aqua Prime

Q2 is where the closed alpha from Q1 became a fully playable game. With the security and architecture work from last quarter in place, the focus shifted entirely to completing the live game loop, economy, and world systems.

The game loop was built in five phases: alignment-based territory claiming on a shared map, MUD-style player commands, a Moloch world boss, a pixel art tile system with an admin editor, and a live territory overlay on the 3D map. Players choose Light, Dark, or Grey alignment and complete three narrative beats per cell to claim territory.

The economy was expanded with Sand Dollar tiers, FIFO memory erasure when balance hits zero, social credit injected into GM narration, bounties, grey hat wall-breaking, and a session-end stat flush to each player's on-chain NFT. The 3D map was overhauled to smooth displaced terrain geometry, add mountain clustering and animated water, and reflect pixel art admin edits live in the world on a 30-second cycle.

World systems also advanced substantially. More than 1,500 NPCs were seeded with full character sheets across the map, per-node corruption tracking was added, world events now run with Blades-in-the-Dark style clocks, and alignment-based story directives feed directly into ARIs narration context. Onboarding was completed with a private tutorial square, dynamic beats personalized to each players NFT and alignment, and a starting Sand Dollar bonus.

Late in the quarter, at Gines direction, AquaPrime entered feature freeze while smart contracts are being finalized ahead of the open alpha test. Community members can still reach out for closed alpha access, and artists interested in contributing to upcoming VibeMarket campaigns should connect via Discord.

Insert Coin

Q2 marked a strategic pivot toward using Insert Coin as the bridge for cross-district collaboration. Multiple working sessions were held with Daniel to plan a tournament that will use Insert Coins match platform as the vehicle for AquaPrimes open alpha test, giving the game loop and economy a real stress test under live player conditions while also driving visibility for both districts.

This approach reflects the direction district0x is leaning into for the rest of 2026: districts collaborating through real events instead of building in isolation. Tournament date, prize structure, and bracket are being finalized, with launch targeted within the next month.

Insert Coin is also preparing for a broader marketing push tied to major fighting game releases. Planned content will roll out ahead of Avatar Legends, Marvel Tokon open beta, and Marvel Tokon full launch, with onboarding through FGC Discord servers, tutorial content, and a major tournament in collaboration with HOC. Additional community-facing activations are planned around CEO 2026 and a joint tournament at OS NYC with HOC, reinforcing Insert Coins role as a live event platform for the next phase of district0x.

Marketing

Marketing in Q2 centered on product-led momentum and cross-district activation. With StreamTide feature-complete and AquaPrime nearing open alpha readiness, the focus shifted toward creating visible moments that show how district0x products can work together in practice, especially through tournament-based launches and community events.

Insert Coin became the centerpiece of this strategy. Content planning now leads directly into tournament promotion, tutorial rollout, FGC community onboarding, and event-driven outreach tied to major fighting game releases. This creates a clearer path from awareness to participation, while also giving AquaPrime and district0x a stronger public narrative around collaboration, gameplay, and AI-assisted systems.

The broader marketing direction remains consistent with the network's recent trajectory: practical creator outreach for StreamTide, community access for AquaPrime, and real-world activation for Insert Coin. Together, these efforts continue to build district0x visibility while aligning product and marketing more tightly across the ecosystem.

Financials

Balance Sheet & Income Statement

Assets								
CURRENT ASSETS*		Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
BTC		\$11,192,242	\$9,822,367	\$10,700,000	\$11,460,000	\$8,834,200	\$6,910,100	\$5,887,700
ETH		\$13,037,940	\$7,053,564	\$4,561,158	\$8,437,824	\$6,098,544	\$4,383,072	\$3,262,680
DNT		\$8,208,000	\$4,752,000	\$4,734,000	\$4,554,000	\$2,268,000	\$1,476,000	\$918,000
GRT		\$12,474,000	\$5,358,000	\$6,340,300	\$5,333,200	\$2,224,400	\$1,634,800	\$1,179,200
KEEP		\$0	\$0	\$0	\$0	\$0	\$0	\$0
Stable Coin		\$0	\$0	\$0	\$0	\$0	\$0	\$0
Prepaid Expenses		\$0	\$0	\$0	\$0	\$0	\$0	\$0
TOTAL CURRENT ASSETS		\$44,912,182	\$26,985,931	\$26,335,458	\$29,785,024	\$19,425,144	\$14,403,972	\$11,247,580
LIABILITIES								
CURRENT LIABILITIES		Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
Short-Term Debt		\$0	\$0	\$0	\$0	\$0	\$0	\$0
TOTAL CURRENT LIABILITIES		\$0	\$0	\$0	\$0	\$0	\$0	\$0

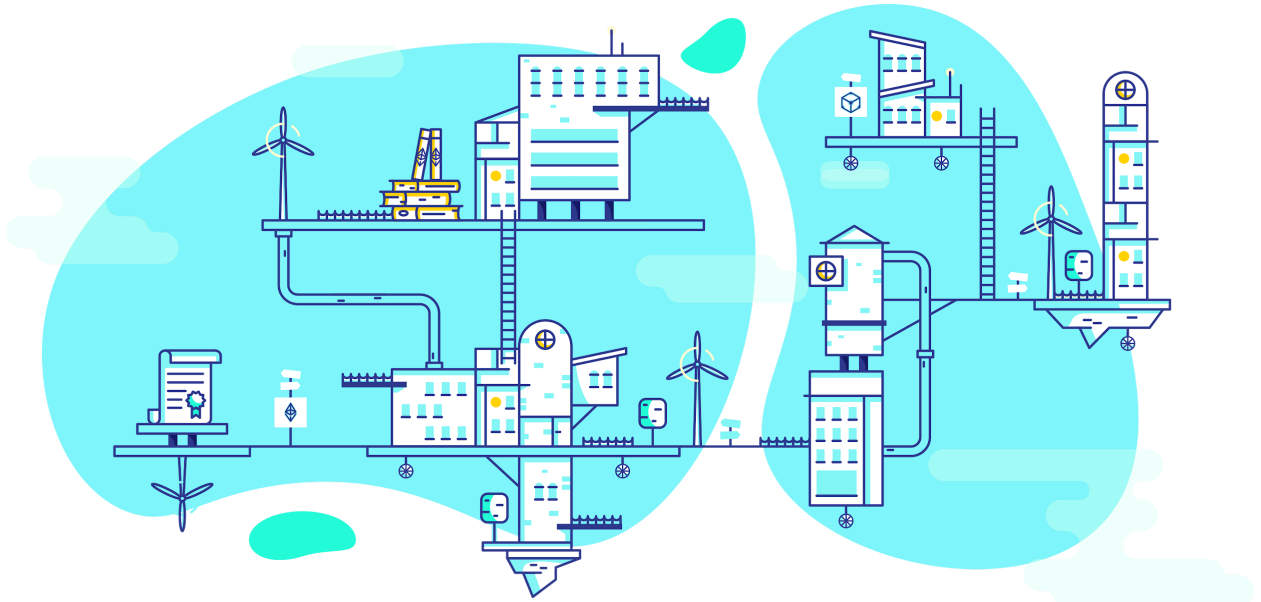
Summary

Anticipating ongoing progress in 2026, our efforts will continue to build on the momentum of the work completed this quarter. We aim to further develop the tools, architecture, and applications that best reflect the needs of our community and the direction of the market, while continuing to improve accessibility for both users and developers across the district0x ecosystem.

We encourage everyone to stay connected through our platforms, participate in our discussions and follow along as we continue shipping new experiences across the network. We remain optimistic in the future of blockchain and will continue to build towards it.

Joe Urgo

joe@district0x.io



Learn More

For more information about the district0x network,

- Head to our [Onboarding Terminal](#) for all links at a glance
- Check out our [Education Portal](#) for all things #web3
- Join the official [Discord server](#) or [Telegram](#) channel
- Watch our [YouTube intro video](#) and [live stream](#) on Twitch.tv
- Subscribe to [email updates](#) or to our [Subreddit](#) forum
- Follow us on [Twitter](#), [Facebook](#) and [Instagram](#)